Reg. No									

St. Joseph's College of Arts & Science (Autonomous)
St. Joseph's College Road, Cuddalore – 607001

B.COM DEGREE EXAMINATION – APRIL 2021

CM616T – MANAGEMENT ACCOUNTING

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. Define Management Accounting.
2. Who is Management Accountant?
3. What is current ratio?
4. What do you mean by Debt Equity Ratio?
5. How to calculate Funds from Operations?
6. Give any two examples for cash inflows.
7. Define Flexible Budget.
8. What do you mean by Budget Manual?
9. Define Capital Budgeting.
10. What is Internal Rate of Return (IRR)?

SECTION – B (5X5=25)

Answer any **FIVE** Questions

11. What are the objectives of management accounting? Explain.
12. Briefly explain the tools and techniques of management accounting
13. You are given the following information:

	Rs.
Cash	18,000
Debtors	1,42,000
Closing Stock	1,80,000
Bills payable	27,000
Creditors	50,000
Outstanding expenses	15,000
Tax payable	75,000

Calculate a. Current Ratio b. Liquidity Ratio c. Absolute liquidity ratio

14. Current Ratio 2.5:1; Working Capital Rs.63,000. Calculate Current Assets and Current Liabilities.

15. Discuss the managerial uses of Funds Flow Statement.

16. The budgeted expenses for the production of 10,000 units in a factory are furnished below:

	Per unit Rs.
Materials	70
Labour	25
Variable overheads	20
Fixed overheads (1,00,000)	10
Direct variable overheads	5
Selling expenses (15% fixed)	13
Distribution expenses (20% fixed)	7
Administrative expenses (Rs. 50,000)	5

Prepare a budget for the production of 8,000 units.

17. The following are the cash inflows and outflows of a certain project.

Year	Outflows	Inflows
	Rs.	Rs.
0	1,50,000	-
1	30,000	30,000
2	-	30,000
3	-	50,000
4	-	60,000
5	-	40,000

The salvage value at the end of 5 years is Rs.40,000. Taking the cut off rate as 10%. Calculate Net Present Value.

SECTION – C (3X10=30)

Answer any **THREE** Questions

18. Distinguish between financial accounting and management accounting

19. The following information is given about M/s S.P Ltd for the year ending December 31, 1989:

i) Stock Turnover ratio = 6 times

ii) Gross profit Ratio = 20% on sales

iii) Sales for 1989 = Rs. 3,00,000

iv) Closing stock is Rs. 10,000 more than the opening stock

v) Opening Creditors = Rs. 20,000

vi) Closing Creditors = Rs. 30,000

vii) Trade debtors at the end = Rs. 60,000

viii) Net working Capital = Rs. 50,000

Find out

a) Average Stock
b) Purchases
c) Creditors Turn over ratio
d) Average payment period
e) Average collection period
f) Working capital turnover ratio

20. From the following particulars prepare funds flow statement of Mr. Devan, a sole trader.

Liabilities	**1997**	**1998**	**Assets**	**1997**	**1998**
	Rs.	Rs.		Rs.	Rs.
Creditors	36,000	41,000	Cash	4,000	3,600
Bank Loan	30,000	45,000	Debtors	35,000	38,400
Capital	1,48,000	1,49,000	Stock	25,000	22,000
			Land	20,000	30,000
			Building	50,000	55,000
			Machinery	80,000	86,000
	2,14,000	2,35,000		2,14,000	2,35,000

During the year, drawings by the proprietor for the personal use amounted to Rs. 26,000. Provision for depreciation on machinery stood at Rs. 27,000 on 1st January 1997 and at Rs. 36,000 on 31st December 1997.

21. The income and expenditure forecasts for months of March to August, 2009 are given as follows:

Months	Sales (credit) Rs.	Purchases (credit) Rs.	Wages Rs.	Manufacturing Expenses Rs.	Office Expenses Rs.	Selling Expenses Rs.
March	60,000	36,000	9,000	3,500	2,000	4,000
April	62,000	38,000	8,000	3,750	1,500	5,000
May	64,000	33,000	10,000	4,000	2,500	4,500
June	58,000	35,000	8,500	3,750	2,000	3,500
July	56,000	39,000	9,500	5,000	1,000	3,500
August	60,000	34,000	8,000	5,200	1,500	4,500

You are given the following further information:

(a) Plant costing Rs. 16,000 is due for delivery in July payable 10% on delivery and the balance after 3 months.

(b) Advance tax of Rs. 8,000 is payable in march and June each.

(c) Creditors allow 2 months credit and debtors are paying one month late. Opening balance of cash Rs. 8,000, lag of one month in expenses.

Prepare a cash budget for the months May to July.

22. Raj Electronics Ltd., are considering the purchase of a machine. Two machines A and B are available, each costing Rs.50,000. In comparing the profitability of these machines, a discount rate of 10% is to be used. Earnings after taxation (but before depreciation) are expected to be as follows:

Year	Machine A (Rs.)	Machine B (Rs)
1	15,000	5,000
2	20,000	15,000
3	25,000	20,000
4	15,000	30,000
5	10,000	20,000

The present value of Re1 at 10% discount for the first five years are 0.909; 0.826. 0.751, 0.683 and 0.621 as per the PV tables. Evaluate the prospects using:

i. The Payback period

ii. The Net Present Value and profitability index

iii. The accounting rate of return method.

Deduct 20% from the given figures for after depreciation and tax profits.

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